

HESTER

Hester Biosciences Limited

HQ and Registered Office

Village Meda-Adraj

Taluka Kadi

District Mehsana

Gujarat 384441, India

Phone +91 2764 285 502

+91 2764 285 453

Ahmedabad Office

Pushpak, 1st Floor

Panchvati Circle

Motilal Hirabhai Road

Ahmedabad 380006

Gujarat, India

Phone +91 79 264 45106

Email mail@hester.in

www.hester.in

CIN L99999GJ1987PLC022333

11 July 2025

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai 400 001

Scrip Code: 524669

To,
National Stock Exchange of India Limited
Exchange Plaza,
Bandra - Kurla Complex,
Bandra (E), Mumbai 400 051

Symbol: HESTERBIO

Respected Sir / Madam:

Subject: Business Responsibility and Sustainability Report of the Company for the year ended 31 March 2025

Pursuant to Regulation 34(2)(f) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 as amended time to time, we hereby submit the Business Responsibility and Sustainability Report ('BRSR') of the Company for the year ended 31 March 2025. A copy of BRSR report enclosed herewith.

Kindly take note of the above and consider in your records.

**Sincerely,
For Hester Biosciences Limited**

Vinod
Mali

Digitally signed
by Vinod Mali
Date: 2025.07.11
14:13:16 +05'30'

**Vinod Mali
Company Secretary & Compliance Officer**

Enclosure: As above

SECTION A: GENERAL DISCLOSURES

i) Details of the Listed Entity

Sr.	Particulars	Details
1	Corporate Identity Number (CIN)	L99999GJ1987PLC022333
2	Name of the Company	HESTER BIOSCIENCES LIMITED
3	Year of incorporation	1987
4	Registered office address	Village - Meda Adraj, Taluka - Kadi, District - Mehsana, Gujarat 384441
5	Corporate address	Village - Meda Adraj, Taluka - Kadi, District - Mehsana, Gujarat 384441
6	E-mail	cs@hester.in
7	Telephone	+91 2764 285502
8	Website	www.hester.in
9	Financial year for which reporting is being done	2024-2025
10	Name of the Stock Exchange(s) where shares are listed	a) National Stock Exchange of India Limited b) BSE Limited
11	Paid-up Capital	INR 85.07 million
12	Name and contact details of the person who may be contacted in case of any queries on the BRSR report	Mr. Vinod Mali, Company Secretary & Compliance Officer Address: Village - Meda Adraj, Taluka - Kadi, District - Mehsana, Gujarat 384441 Tel.: +91 2764 285502 Email: cs@hester.in
13	Reporting boundary - Are the disclosures under this report made on a standalone basis or on a consolidated basis	The disclosures made in this report are on a standalone basis
14	Name of assurance provider	Not Applicable
15	Type of assurance obtained	Not Applicable

ii) Products/services :

16. Details of business activities (accounting for 90% of the turnover) :

Sr. No.	Description of Main Activity	Description of Business Activity	% of Turnover of the entity
1	Manufacturing and trading of veterinary vaccines and health products	Manufacturing and trading of veterinary vaccines and health products	100%

17. Products/services sold by the entity (accounting for 90% of the entity's turnover):

Sr. No.	Product/services	NIC Code	% of total turnover contributed
1	Manufacture of pharmaceuticals, medicinal chemical and botanical products	2100	76%
2	Wholesale of pharmaceutical and medical goods	46497	24%

iii) Operations:

18. Number of locations where plants and/or operations/offices of the entity are situated:

Location	Number of plants	Number of offices	Total
National	1	6	7
International	-	-	-

19. Markets served by the entity :

a) Number of locations:

Locations	Number
National (No. of States)	Pan India
International (No. of Countries)	40

b) What is the contribution of exports as a percentage of the total turnover of the entity?:

Contribution of exports is 9% of our total turnover during the financial year 2024-25.

c) A brief on types of customers :

Hester is the second largest poultry vaccine manufacturer in India. Its customer base in India includes stockists, retailers, dairy farms, pharmaceutical companies, veterinary professionals, government bodies, and farmer community. The Company also provides vaccines to other countries government and global bodies like FAO, UN, etc. as part of global PPR and other vaccination initiatives. Additionally, as part of its pet care range, the Company also services household customers pan-India.

iv) **Employees:**

20. Details as at the end of Financial Year:

a) Employees and workers (including differently abled):

Sr. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B / A)	No. (C)	% (C / A)
EMPLOYEES						
1.	Permanent (D)	562	530	94%	32	6%
2.	Other than Permanent (E)	-	-	-	-	-
3.	Total employees (D + E)	562	530	94%	32	6%
WORKERS						
4.	Permanent (F)	67	66	99%	1	1%
5.	Other than Permanent (G)	262	253	97%	9	3%
6.	Total workers (F + G)	329	319	97%	10	3%

b) Differently abled employees and workers:

Sr. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B / A)	No. (C)	% (C / A)
DIFFERENTLY ABLED EMPLOYEES						
1.	Permanent (D)	-	-	-	-	-
2.	Other than Permanent (E)	-	-	-	-	-
3.	Total differently abled employees (D + E)	-	-	-	-	-
DIFFERENTLY ABLED WORKERS						
4.	Permanent (F)	-	-	-	-	-
5.	Other than Permanent (G)	-	-	-	-	-
6.	Total differently abled workers (F + G)	-	-	-	-	-

21. Participation/Inclusion/Representation of women

Particulars	Total (A)	No. and percentage of females	
		No. (B)	% (B / A)
Board of Directors *	10	2	20%
Key Management Personnel **	2	-	-

* Excluding the one Alternate Director

** Key Management Personnel other than Board of Directors

22. Turnover rate for permanent employees and workers (Disclose trends for the past 3 years)

Particulars	FY 2024-25			FY 2023-24			FY 2022-23		
	Male	Female	Total	Male	Female	Total	Male	Female	Total
Permanent Employees	34.50%	27.40%	34.10%	34.32%	46.15%	35.05%	27.17%	25.35%	27.06%
Permanent Workers	7.30%	66.70%	8.60%	1.40%	-	1.36%	2.78%	-	2.70%

v) Holding, Subsidiary and Associate Companies (including joint ventures)

23. Names of holding / subsidiary / associate companies / joint ventures

Sr. No.	Name of the holding / subsidiary / associate companies / joint ventures (A)	Indicate whether holding / subsidiary / associate / joint Venture	% of shares held by listed entity	Does the entity indicated at column A, participate in the Business Responsibility initiatives of the listed entity? (Yes/No)
1	Texas Lifesciences Private Limited	Subsidiary	54.81%	No
2	Hester Biosciences Africa Limited	Subsidiary	100.00%	No
3	Hester Biosciences Nepal Private Limited	Subsidiary	65.00%	No
4	Hester Biosciences Kenya Limited	Subsidiary	100.00%	No
5	Hester Biosciences Tanzania Limited	Subsidiary	100.00%	No
6	Thrishool Exim Limited	Joint Venture	50.00%	No

vi) CSR Details

24.

(i) Whether CSR is applicable as per section 135 of Companies Act, 2013: (Yes/No) - YES

(ii) Turnover (in INR) : 2,864.66 million

(iii) Net worth (in INR) : 3,390.87 million

A detailed report on CSR projects undertaken during the Financial Year 2024-25 has been provided in 'Annexure - 3' to the Board's report.

VII) Transparency and Disclosures Compliances

25. Complaints/Grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business Conduct:

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place (Yes/ No) (If Yes, then provide web-link for grievance redressal policy)	FY 2024-25			FY 2023-24		
		Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks
Communities	Yes	Nil	Nil		Nil	Nil	
Investors (other than shareholders)	Yes	Nil	Nil		Nil	Nil	
Shareholders	Yes	4	Nil		4	Nil	
Employees and workers	Yes	Nil	Nil		Nil	Nil	
Customers	Yes	Nil	Nil		Nil	Nil	
Value Chain Partners	Yes	Nil	Nil		Nil	Nil	

The Company has a grievance redressal mechanism in place for all internal and external stakeholders of the business. The policy can be accessed from website at <https://www.hester.in/corporate-governance>

26. Overview of the entity's material responsible business conduct issues:

Sr. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
1	GHG Emissions	Risk	The use of materials and processes that tend to produce greenhouse gas emissions significantly increases the environmental risks associated with GHG emissions.	a) Implemented solar power generation at manufacturing sites to renewable energy use. b) Enhance energy and operational efficiency of equipment to minimise overall energy consumption.	Negative

Sr. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
2	Waste Management	Risk	Improper waste management poses significant risks to businesses due to the potential hazards it may present to relevant stakeholders, including employees, communities, and regulators. Additionally, the continuous increase in waste generation intensifies environmental impacts and presents growing challenges for effective management.	a) Prioritise process optimisation and material efficiency to minimise waste generation during operations. b) Establish systems for proper segregation of waste to facilitate recycling and safe disposal, in compliance with local regulations. c) Conduct regular training sessions to build awareness among staff on responsible waste handling and reduction practices. d) Collaborate with certified waste management vendors and explore innovative technologies such as waste-to-energy or circular economy models. e) Implement waste tracking systems to monitor quantities, types, and disposal methods, enabling data-driven decisions and transparency in sustainability reporting.	Negative
3	Water Management	Risk	Water is a shared and limited resource, underscoring the need for responsible and efficient usage. Sustainable water consumption is critical to maintaining social and environmental responsibility. Furthermore, stringent regulations governing the reuse and recycling of treated water present compliance challenges and operational risks, reinforcing the need for robust water management practices.	a) Implemented cutting-edge technologies and optimised processes to significantly reduce our overall water consumption. b) Investments in modern wastewater treatment infrastructure ensure our facilities meet and often exceed regulatory compliance for water discharge and reuse. c) Established the ETP lab for continues and real-time monitoring to maintain strict adherence to water discharge and reuse standards. d) Adopting a ZLD strategy, we aim to recycle and reuse all treated water within our operations, substantially reducing the intake of fresh water. e) Actively engage and educate both internal teams and external partners to promote water conservation awareness and responsible usage practices.	Negative

Sr. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
4	Attracting / retaining talent and workforce welfare	Risk & Opportunity	Risk: Animal healthcare companies face intense competition for skilled professionals. The industry depends on highly qualified individuals to drive product innovation, conduct clinical trials, navigate regulatory requirements and successfully commercialise new products. A shortage of talent or high employee turnover could impede progress in these critical areas n. Opportunity: The company's proactive focus on workforce welfare and development demonstrates a strong commitment to nurturing its most valuable asset—its people. By investing in employee growth and well-being, the company can attract and retain top talent, fostering innovation and operational excellence.	Hester aims to retain its employees by implementing progressive, employee-friendly practices, particularly given the limited pool of available talent. This strategic approach provides a competitive advantage by fostering deep subject matter expertise. Additionally, investing in training programs to up skill existing employees helps build internal capacity to drive innovation and advance environmental goals.	Negative
5	Responsible supply chain management	Risk	Supply chain partners, operating across diverse locations, are responsible for the timely delivery of input materials, products, services, and capital goods essential to business operations. Ensuring the quality and punctuality of these inputs is critical for uninterrupted operations and business continuity. Any disruption or threat to the sustainability of these supply chain partners could directly impact the company's ability to maintain smooth and consistent operations.	To mitigate supply chain disruption risks, the Company prioritises enhancing its supply chain programs and policies, focusing on sustainable and effective management practices. By implementing robust policies and processes, Hester aims to ensure business continuity and protect shareholder value through responsible supply chain management.	Negative

SECTION B: MANAGEMENT AND PROCESS DISCLOSURES

This section is aimed at helping businesses demonstrate the structures, policies and processes put in place towards adopting the NGRBC Principles and Core Elements.

Disclosure Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
Policy and management processes									
1. a) Whether your entity's policy/policies cover each principle and its core elements of the NGRBCs. (Yes/No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
b) Has the policy been approved by the Board? (Yes/No)	Yes, the Company has developed comprehensive policies covering these principles. Some of the Policies have been approved by the Board as per relevant statutory requirements.								
c) Web Link of the Policies, if available	Policies are uploaded on the website of the Company at https://www.hester.in/corporate-governance								
2. Whether the entity has translated the policy into procedures. (Yes / No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
3. Do the enlisted policies extend to your value chain partners? (Yes / No)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
4. Name of the national and international codes / certifications/labels/ standards (e.g. Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trustea) standards (e.g. SA 8000, OHSAS, ISO, BIS) adopted by your entity and mapped to each principle.	• National Guidelines on Responsible Business Conduct (NGRBC) • Product quality - ISO 9001: 2015 • Environment Management System- ISO 14001: 2015 • Health and Safety- ISO 45001: 2018 • Good Manufacturing Practices (GMP) • Good Laboratory Practices (GLP) • DSIR approved R&D Center All relevant policies have been developed in line with requirements of national standards acts like Factories Act, 1948, Companies Act, 2013, the Listing Regulations and various other applicable statutes.								
5. Specific commitments, goals and targets set by the entity with defined timelines, if any.	Even though the Company does not currently have any targets or goals related to ESG concerns, it constantly works to improve its environmental and social impact through a variety of initiatives and improvements based on best practises from across the world and the industry.								
6. Performance of the entity against the specific commitments, goals and targets along-with reasons in case the same are not met.	Not Applicable								

Governance, leadership and oversight

7. Statement by director responsible for the business responsibility report, highlighting ESG related challenges, targets and achievements (listed entity has flexibility regarding the placement of this disclosure)	A statement and details on ESG aspects of the business are part of this Annual report.
8. Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy (ies).	Mr. Rajiv Gandhi CEO & Managing Director
9. Does the entity have a specified Committee of the Board/ Director responsible for decision making on sustainability related issues? (Yes / No). If yes, provide details.	The responsibility for the day-to-day decision making on ESG & wider sustainability related issues is with respective functional heads of the Company.

10. Details of Review of NGRBCs by the Company:

Subject for Review	Indicate whether review was undertaken by Director / Committee of the Board/ Any other Committee									Frequency (Annually/ Half yearly/ Quarterly/ Any other - Please specify)								
	P1	P2	P3	P4	P5	P6	P7	P8	P9	P1	P2	P3	P4	P5	P6	P7	P8	P9
Performance against above policies and follow up action.	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Periodically/Need basis								
Compliance with statutory requirements of relevances to the principles, and, rectification of any non-compliances.	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Ongoing basis								

Note: In line with Code of Conduct, all Board level meetings and business meetings are led by the CEO & Managing Director, where sustainability and business responsibility aspects material to the business are discussed on an ongoing basis. The Directors and Senior Management members affirm compliance with the Code of Conduct on annual basis.

The Company publishes the Business Responsibility and Sustainability Report in its Annual Report. The Corporate Social Responsibility (CSR) Committee of the Company is responsible for formulating, implementing and monitoring the CSR Policy of the Company under the guidance of the Board. The CEO & Managing Director is a chairman of this Committee. The CSR Committee meets at least twice a year to review progress on various CSR initiatives. The CSR Committee also approves Annual CSR Report as per the provisions of the Act. CSR Report is part of the Board's Report.

11. Has the entity carried out independent assessment/ evaluation of the working of its policies by an external agency? (Yes/No). If yes, provide name of the agency.	P1	P2	P3	P4	P5	P6	P7	P8	P9
	Most of our policies are internal policies which are adopted by the Company. They are reviewed internally on a periodic basis depending on business requirements and/or change in applicable regulations and evolving best practice. No review is conducted through external partners.								

12. If answer to question (1) above is "No" i.e. not all Principles are covered by a policy, reasons to be stated:

Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
The entity does not consider the Principles material to its business (Yes/No)	Not Applicable								
The entity is not at a stage where it is in a position to formulate and implement the policies on specified principles (Yes/No)									
The entity does not have the financial or/human and technical resources available for the task (Yes/No)									
It is planned to be done in the next financial year (Yes/No)									
Any other reason (please specify)									

SECTION C: PRINCIPLE WISE PERFORMANCE DISCLOSURE

This section is aimed at helping companies demonstrate their performance in integrating the Principles and Core Elements with key processes and decisions. The information sought is categorised as “Essential” and “Leadership”. While the essential indicators are expected to be disclosed by every Company that is mandated to file this report, the leadership indicators may be voluntarily disclosed by entities which aspire to progress to a higher level in their quest to be socially, environmentally and ethically responsible.

Principle 1:

Businesses should conduct and govern themselves with integrity, and in a manner that is Ethical, Transparent and Accountable

Essential Indicators

1. Percentage coverage by training and awareness programmes on any of the Principles during the financial year:

Our employees have lived up to the highest standard of business integrity, transparency, ethics and compliance. Our values are aligned with code of conducts and operations. To further enhance this and ensure that the competency of our workforce is at par with the best industry practices, we provide online as well as offline training programmes and capacity building workshop to our entire workforce covering all various principles given by NGRBC. The coverage of our training programmes can be understood as follows:

Segment	Total number of training and awareness programmes held	Topics / principles covered under the training and its impact	% of persons in respective category covered by the awareness programmes
Board of Directors	4	The Company conducts familiarisation programmes for its Board of Directors at regular intervals which covers topics such as ESG parameters and their impact, corporate governance practices, and various other industry, business and regulatory updates.	100%
Key Managerial Personnel*	4	The Company also provide ongoing trainings and updates to the Board and KMP on multiple topics including: - Internal Controls and Compliances update - Various Policies, Cyber Security and Internal controls on Risk Management Strategy and Framework. - Regulatory Updates and its implications. - Various parameters of NGRBC principles and its related trainings.	100%
Employees other than BoD and KMPs	12	Curated training programmes for employees span a wide range of subjects that fall under all guiding principles, including (but not limited to) Code of Conduct, PoSH, skill development, health, safety and the environment.	100%
Workers	16	In addition to trainings on health and safety and skill upgradation, the Company provides training to workers on various topics such as, - Good Documentation Practices - IMS awareness - Data Integrity - Leadership Trainings - Technical Trainings - Manufacturing related Standard Operating Procedures (SOPs).	100%

*2 out of 4 KMPs are Board Members.

2. Details of fines / penalties /punishment/ award/ compounding fees/ settlement amount paid in proceedings (by the entity or by directors / KMPs) with regulators/ law enforcement agencies/ judicial institutions, in the financial year:

Monetary					
Particulars	NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Amount (In INR)	Brief of the Case	Has an appeal been preferred? (Yes/No)
Penalty/ Fine			NIL		
Settlement					
Compounding fee					
Non-Monetary					
Particulars	NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Amount (In INR)	Brief of the Case	Has an appeal been preferred? (Yes/No)
Imprisonment			NIL		
Punishment					

During the financial year 2024-25, no fines / penalties / award / compounding fees / settlement amount was paid in proceedings by the Company or by its Directors / KMPs as per the materiality policy and SEBI Regulations.

3. Of the instances disclosed in Question 2 above, details of the Appeal/ Revision preferred in cases where monetary or non-monetary action has been appealed.

Case Details	Name of the regulatory/ enforcement agencies/ judicial institutions
Not Applicable	

4. Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide a web-link to the policy.

The Company has 'zero tolerance' to any form of corruption or bribery. The Company has a Code of Conduct (applicable to Board Members, Directors & Senior Management) and an internal Employee Manual, which applies to employees (whether permanent, temporary or employed on a contract basis, directly or through a contractor, retainer or full-time consultant), as well as to associated persons for ensuring compliance with applicable anti-bribery laws, rules and regulations. The Code of Conduct of the Company is available on its website at: <https://www.hester.in/corporate-governance>

5. Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery/ corruption:

Particulars	FY 2024-25	FY 2023-24
Directors	NIL	NIL
KMPs		
Employees		
Workers		

During the financial year 2024-25, no disciplinary action has been taken by any law enforcement agency or the charges of bribery/ corruption against any Directors/KMPs/ employees/workers.

6. Details of complaints with regard to conflict of interest:

Particulars	FY 2024-25		FY 2023-24	
	Number	Remarks	Number	Remarks
Number of complaints received in relation to issues of Conflict of Interest of the Directors	NIL		NIL	
Number of complaints received in relation to issues of Conflict of Interest of the KMPs	NIL		NIL	

During the financial year 2024-25, no complaints were recorded with regard to conflict of interest.

7. Provide details of any corrective action taken or underway on issues related to fines / penalties / action taken by regulators/ law enforcement agencies/ judicial institutions, on cases of corruption and conflicts of interest.

Not Applicable

8. Number of days of accounts payables ((Accounts payable*365) / Cost of goods/services procured):

Particulars	FY 2024-25	FY 2023-24
Number of days of accounts payables	72	64

9. Open-ness of business

Provide details of concentration of purchases and sales with trading houses, dealers, and related parties along-with loans and advances & investments, with related parties:

Parameter	Metrics	FY 2024-25	FY 2023-24
Concentration of Purchases	a. Purchases from trading houses as % of total purchases	-	-
	b. Number of trading houses where purchases are made from	-	-
	c. Purchases from top 10 trading houses as % of total purchases from trading houses	-	-
Concentration of Sales	a. Sales to dealers / distributors as % of total sales	53%	34%
	b. Number of dealers / distributors to whom sales are made	1,000+	900+
	c. Sales to top 10 dealers / distributors as % of total sales to dealers / distributors	34%	31%
Share of RPTs in	a. Purchases (Purchases with related parties / Total Purchases)	20%	18%
	b. Sales (Sales to related parties / Total Sales)	3%	2%
	c. Loans & advances (Loans & advances given to related parties / Total loans & advances)	-	-
	d. Investments (Investments in related parties / Total Investments made)	-	-

Principle 2:

Businesses should provide goods and services in a manner that is sustainable and safe

Essential Indicators

- 1. Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social impacts of product and processes to total R&D and capex investments made by the entity, respectively.**

Particulars	FY 2024-25	FY 2023-24	Details of Improvement in environmental and social impacts
R&D	64.25%	32.45%	Investing in new technologies seeks to enhance the environmental and social impact of products and processes. Advancing vaccine development to address critical health challenges and severe diseases will lead to improved public health outcomes.
Capex	23.24%	13.44%	Advanced systems such as centralised chiller water supply and distribution exemplify sustainable water management and efficient resource utilisation by enabling full water recycling, minimizing environmental impact, and enhancing operational efficiency.

- 2. a) Does the entity have procedures in place for sustainable sourcing? (Yes/No)**

Yes, the Company follows a structured procedure for sustainable sourcing. All new supply chain partners undergo mandatory evaluation on environmental, health & safety and sustainability parameters before onboarding. Existing partners are regularly assessed through quality checks and inspections. The Company ensures that each supplier holds an international or applicable domestic accreditation/certification, such as ISO.

Supplier selection incorporates WHO, GMP and cGMP standards within standard operating procedures and protocols. Rigorous measures are taken to maintain stringent quality standards, with periodic audits assessing product stability. Additionally, all suppliers must obtain environmental audit certifications from ISO and OHSAS.

The Company has established a standalone sustainable supply mechanism and Supplier Code of Conduct, integrating sustainability parameters into its supply chain framework. Periodic ESG-based supplier assessments are conducted, and capacity-building workshops are organised for critical suppliers selected based on value, volume and dependency. To minimise the carbon footprint of logistics, the Company prioritises suppliers from nearby locations/districts. For waste management, only government-accredited suppliers are selected to ensure the highest compliance standards.

- b) If yes, what percentage of inputs were sourced sustainably?**

100% of inputs sourced from critical suppliers is sourced sustainably by the Company.

- 3. Describe the processes in place to safely reclaim your products for reusing, recycling and disposing at the end of life, for a) Plastics (including packaging) b) E-waste c) Hazardous waste and d) Other waste**

The Company's operations generate minimal recoverable waste, limited primarily to packaging materials such as thermocol, plastic wrapping, gel-packs, bottles and vials. These materials are routinely collected by end-customers and transferred to third-party recyclers for reuse or environmentally responsible disposal. No other specific waste streams arise from our processes that warrant internal reclamation.

All hazardous and biological by-products of our manufacturing activities are managed under rigorously enforced protocols that comply fully with the State Pollution Control Board's regulations. We engage only SPCB-approved waste-management partners to oversee the safe collection, treatment and final disposal of these materials. Detailed documentation is maintained at every stage to ensure complete traceability and regulatory adherence.

Furthermore, our internal Waste Management SOPs and Policy establishes clear guidelines for handling end-of-life electronic equipment and machinery. The Asset Team conducts periodic reviews to identify assets that have reached the end of their service life, and the Procurement Department then arranges for their transfer to certified waste dealers. Wherever feasible, components are salvaged for recycling or repurposing before any residual materials are sent for final disposal.

4. Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes / No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.

The entity has submitted its Extended Producer Responsibility (EPR) application in relation to the plastic waste generation from its operations to the Pollution Control Board and is currently awaiting approval. It is actively liaising with the relevant authorities to ensure full compliance and will proceed as soon as further guidance is received.

Principle 3:

Businesses should respect and promote the well-being of all employees, including those in their value chains:

Essential Indicators

1. a) Details of measures for the well-being of employees:

Category	% of employees covered by										
	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		Number (B)	% (B/A)	Number (C)	% (C/A)	Number (D)	% (D/A)	Number (E)	% (E/A)	Number (F)	% (F/A)
Permanent employees											
Male	530	530	100%	530	100%	-	-	530	100%	530	100%
Female	32	32	100%	32	100%	32	100%	-	-	32	100%
Total	562	562	100%	562	100%	32	100%	530	100%	562	100%
Other than Permanent employees											
Male	-	-	-	-	-	-	-	-	-	-	-
Female	-	-	-	-	-	-	-	-	-	-	-
Total	-	-	-	-	-	-	-	-	-	-	-

b) Details of measures for the well-being of workers:

Category	% of employees covered by										
	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		Number (B)	% (B/A)	Number (C)	% (C/A)	Number (D)	% (D/A)	Number (E)	% (E/A)	Number (F)	% (F/A)
Permanent employees											
Male	66	66	100%	66	100%	-	-	66	100%	66	100%
Female	1	1	100%	1	100%	1	100%	-	-	1	100%
Total	67	67	100%	67	100%	1	100%	66	100%	67	100%
Other than Permanent employees											
Male	253	-	-	253	100%	-	-	-	-	-	-
Female	9	-	-	9	100%	-	-	-	-	-	-
Total	262	-	-	262	100%	-	-	-	-	-	-

c) Spending on measures towards well-being of employees and workers (including permanent and other than permanent):

	FY 2024-25	FY 2023-24
Cost incurred on wellbeing measures as a % of total revenue of the company	1.08%	1.08%

Note: The costs disclosed above includes amount spent on health insurance, medical check-ups and various staff welfare activities and initiatives.

2. Details of retirement benefits, for Current and Previous Financial Year

Benefits	FY 2024-25			FY 2023-24		
	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)
PF	100%	100%	Yes	100%	100%	Yes
Gratuity	100%	100%	Yes	100%	100%	Yes
ESI*	100%	100%	Yes	100%	100%	Yes
Others - NPS	7%	-	Yes	4%	-	Yes

Note:

a) All eligible employees are enrolled in the Provident Fund (PF) and are entitled to Gratuity.

b) Employees' State Insurance (ESI) coverage applies only to those who meet the statutory criteria.

c) Participation in the National Pension System (NPS) is limited to employees who have expressly opted in.

3. Accessibility of workplaces

Are the premises / offices of the entity accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard.

Yes, the Company's plant and offices are fully accessible to employees with disabilities, in accordance with the Rights of Persons with Disabilities Act, 2016.

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web-link to the policy.

At Hester, we are dedicated to fostering an inclusive workplace and providing equal opportunities for all employees. Our Employee Manual and HR policies strictly prohibit discrimination based on race, caste, religion, color, ancestry, marital status, gender, sexual orientation, age, nationality, ethnic origin, disability, or any other characteristic protected by law.

5. Return to work and Retention rates of permanent employees and workers that took parental leave.

Gender	Permanent employees		Permanent workers	
	Return to work rate	Retention rate	Return to work rate	Retention rate
Male	100%	100%	100%	100%
Female	100%	100%	100%	100%
Total	100%	100%	100%	100%

6. Is there a mechanism available to receive and redress grievances for the following categories of employees and worker? If yes, give details of the mechanism in brief.

Category	Yes/No (If Yes, then give details of the mechanism in brief)
Permanent Employees and Workers	Yes, the Company has a grievance redressal mechanism in place, allowing employees and workers to raise concerns with the relevant department head for resolution within 24-48 hours, depending on the nature of the grievance, if necessary, issues can be escalated to senior management. Additionally, the Company's Whistle Blower Policy encourages reporting of any unethical behavior, misconduct, fraud or policy violations.
Other than Permanent Employees and Workers	Yes, the Company has a grievance redressal mechanism in place for non-permanent employees and workers. They may raise concerns with the relevant supervisors within the prescribed timeframe, depending on the nature of the grievance and if necessary, issues can be escalated to the function head or senior management. Additionally, the Company's Whistle Blower Policy encourages reporting of any unethical behavior, misconduct, fraud, or policy violations.

7. Membership of employees and worker in association(s) or unions recognised by the listed entity:

At present, no employees are represented by any association or union. Nevertheless, the Company regards every individual on its payroll as a vital stakeholder and is committed to cultivating a culture of mutual trust, respect and interdependence through meaningful engagement. By embracing this inclusive approach, we will build, strengthen and sustain harmonious employee relations across the organisation.

Category	FY 2024-25			FY 2023-24		
	Total employees / workers in respective category (A)	No. of employees / workers in respective category, who are part of association(s) or Union (B)	% (B / A)	Total employees / workers in respective category (C)	No. of employees / workers in respective category, who are part of association(s) or Union (B)	% (B / A)
Total Permanent Employees	562	-	-	642	-	-
- Male	530	-	-	601	-	-
- Female	32	-	-	41	-	-
Total Permanent Workers	67	-	-	73	-	-
- Male	66	-	-	71	-	-
- Female	1	-	-	2	-	-

8. Details of training given to employees and workers:

Category	FY 2024-25					FY 2023-24				
	Total (A)	On Health and safety measures		On Skill upgradation		Total (D)	On Health and safety measures		On Skill upgradation	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)	No. (F)	% (F/D)
Employees										
Male	530	530	100%	439	83%	601	409	68%	315	52%
Female	32	32	100%	32	100%	41	31	76%	19	46%
Total	562	562	100%	471	84%	642	440	69%	334	52%
Workers										
Male	66	59	89%	56	85%	71	51	72%	55	77%
Female	1	1	100%	1	100%	2	2	100%	2	100%
Total	67	60	90%	57	85%	73	53	73%	57	78%

9. Details of performance and career development reviews of employees and worker:

Category	FY 2024-25			FY 2023-24		
	Total (A)	No. (B)	% (B/A)	Total (C)	No. (D)	% (D/C)
Employees						
Male	530	530	100%	601	601	100%
Female	32	32	100%	41	41	100%
Total	562	562	100%	642	642	100%
Workers						
Male	66	66	100%	71	71	100%
Female	1	1	100%	2	2	100%
Total	67	67	100%	73	73	100%

The Company conducts a formal year-end and mid-year performance assessment and career-development review for all permanent employees and contract workers.

10. Health and safety management system:

a) Whether an occupational health and safety management system has been implemented by the entity? (Yes/ No). If yes, the coverage such system?

Yes, the occupational health and safety (OHS) management system comprehensively addresses all aspects of workplace safety, including hazard identification, risk assessment, emergency procedures, employee trainings, health surveillance and continuous safety performance monitoring.

The Company is an Integrated Management System (IMS) Certified organisation, complying with ISO 9001:2015 (Quality Management System), ISO 14001:2015 (Environmental Management System), and ISO 45001:2018 (Occupational Health and Safety Management System). It takes proactive measures to prevent work-related injuries and illnesses, minimise risks and continuously enhance safety performance.

All has the Health & Safety (H&S) policy and framework is in place across all operations, ensuring workplace-wide coverage. The Company adheres and complies with the requirements to legal safety standards under various statutes, including the Factories Act, Indian Boilers Act, Environment Protection Act and The Epidemic Diseases Act.

The Company has implemented an on-site emergency plan and continues to strengthen safety protocols based on previous safety audits. This includes emergency preparedness drills and mock drills to ensure a swift and effective response to potential incidents.

b) What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?

The Company implemented the Hazard Identification and Risk Assessment (HIRA) process, where the Safety Manager, along with functional and technical teams, collaborates to identify hazards associated with company activities and evaluate risks against existing control measures. This process is conducted for both routine and non-routine activities to ensure comprehensive risk management.

On-site health & safety professionals regularly monitor workplace activities to ensure compliance with safety standards. Additionally, routine safety checks and maintenance are conducted to uphold the safety and reliability of all equipment and machinery.

The Company also emphasises continuous safety training and communication, ensuring that all employees remain informed about safety protocols, policies and initiatives. Regular safety messaging reinforces best practices and helps mitigate potential risks.

c) Whether you have processes for workers to report the work related hazards and to remove themselves from such risks. (Y/N)

Yes, the Company has a well-established Safety Committee that facilitates worker participation, allowing them to report safety observations and work-related hazards while also tracking the steps taken to mitigate risks.

Additionally, the Company provides comprehensive occupational health and safety training for all employees and workers. These training modules cover methodologies for identifying workplace hazards, analyzing associated risks and implementing mitigation measures.

As part of safety and emergency evacuation drills, employees and workers receive hands-on training in handling fire hydrants, firefighting systems, leak and spill control procedures and safety alarms, among other emergency equipment. Regular assessments are conducted to evaluate employees' readiness to handle emergencies.

Furthermore, practical training ensures that employees are well-versed in the correct procedures for reporting hazards and safely removing themselves from high-risk situations.

d) Do the employees/ worker of the entity have access to non-occupational medical and healthcare services? (Yes/ No)

Yes, employees and workers have access to comprehensive healthcare services, including mental health support and wellness programs, as part of the Company's employee benefits package.

11. Details of safety related incidents:

Safety Incident/Number	Category	FY 2024-25	FY 2023-24
Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked)	Employees	-	-
	Workers	-	-
Total recordable work-related injuries	Employees	-	-
	Workers	-	-
No. of fatalities	Employees	-	-
	Workers	-	-
High consequence work-related injury or ill-health (excluding fatalities)	Employees	-	-
	Workers	-	-

During the financial year 2024-25, there have been no safety related incidents involving any workers or employees.

12. Describe the measures taken by the entity to ensure a safe and healthy work place.

The entity prioritises the safety and well-being of employees through a structured Health and Safety Management System, implementing proactive measures to mitigate workplace risks. Risk assessment and hazard identification are conducted regularly through safety audits and inspections to address potential hazards before they pose a threat. Employees receive comprehensive health and safety training, covering safe work practices, proper use of PPE, and emergency response protocols for incidents such as fires and chemical spills.

To support overall well-being, the entity provides wellness and health programs, including regular health checks, ergonomic assessments, and mental health support. Workplace safety audits, both internal and external, ensure compliance with regulations, while accident reporting and investigation mechanisms help in preventing recurrence. Safety awareness is further reinforced through regular safety meetings, workplace signage, and annual events such as Safety Week 2025, where employees actively participate in safety training, drills, and wellness initiatives to foster a culture of workplace safety.

13. Number of Complaints on the following made by employees and workers:

Category	FY 2024-25			FY 2023-24		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Working Conditions	-	-		-	-	
Health & Safety	-	-		-	-	

During the financial year 2024-25, there were no complaints filed by the employees and workers on the Company's working conditions, health and safety parameters.

14. Assessments for the year:

Category	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Health and safety practices	100%
Working Conditions	100%

15. Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks / concerns arising from assessments of health & safety practices and working conditions.

The Company remains committed to maintaining a safe and healthy work environment by addressing safety-related incidents promptly and proactively. A streamlined incident reporting and investigation system ensures that all safety concerns are thoroughly examined, with corrective actions taken to prevent recurrence. To enhance workplace protection, the entity has upgraded all necessary PPE to meet industry standards and ensure optimal safety for employees. Additionally, routine safety inspections and workplace safety training are conducted to identify and mitigate potential risks.

Employee preparedness is further strengthened through enhanced safety training programs, covering chemical handling, emergency procedures, and workplace safety best practices. Regular emergency drills and updated evacuation procedures ensure employees are well-equipped to respond to emergencies. Furthermore, recognizing the importance of mental well-being, the entity has introduced a mental health program that includes counseling services and stress management workshops.

To sustain ongoing improvements, regular safety committee meetings are held to review safety practices, discuss concerns, and implement necessary enhancements. These initiatives collectively reinforce a culture of safety and continuous improvement, ensuring a safer and more resilient workplace for all employees.

Principle 4:

Businesses should respect the interests of and be responsive to all its stakeholders

Essential Indicators

1. Describe the processes for identifying key stakeholder groups of the entity.

The Company has conducted a comprehensive stakeholder engagement exercise to identify its key stakeholders and gain insights into their key concerns. Stakeholder identification and classification is based on their impact and involvement in the Company operations, as well as their engagement in environmental, social and governance matters. This exercise has fostered a meaningful dialogue with all the stakeholders, enabling the Company to align its ESG approach and reporting with topics which are most material to its operations and its stakeholders.

2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group.

Methods of stakeholder engagement includes surveys (such as supplier, customer, employee surveys), workshops, online video calls, regular interactions with the CSR teams and impact assessments, periodic updates, investors meetings & calls and interactions with team members. The table below provides a more detailed overview in relation to how the Company engages with both its internal and external stakeholder groups.

Stakeholder Group	Whether identified as Vulnerable & Marginalised Group (Yes/ No)	Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly / others - please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
Suppliers / Vendor / Third party manufacturers	No	• Vendor meetings • Virtual modes such as e-mail, telephonically	Continuous	Responsible supply chain practices are critically important for Company. Engagement with suppliers, vendors enable the Company to identify the key material issues impacting the supply chain. The key areas of interest for the suppliers are: • Timely payments • Promoting local suppliers • Ensuring business continuity • Address any grievances • Promoting shared growth
Customers	No	• Product catalogues • Customer meets and visits • Corporate film • News releases • Social media platform	Continuous	Customers form a vital part of the Company's stakeholder engagement group to ensure quality services. The key areas of interest for Customer are: • Product quality, access and pricing • Create awareness • Ensure availability of products • Understanding of requirements and benefits of products

Shareholders and Investors	No	• Website • Investors/ Analyst meetings or calls • Stock Exchange Announcements • Press Releases • Quarterly results announcements • Timely disclosures • Notice of the Shareholder's General Meetings • Corporate profile • Annual Report • Social media platforms	Annually / Quarterly / Need based	Investors/ Shareholders form an integral part of the stakeholder group, influencing the decisions of the Company. The key areas of interest for Shareholders / Investors are: • Financial Performance • Corporate governance • Communication of strategy • Enhancing enterprise value as per expectation • Regulatory compliance
Employees/Workers	No	• Hester Times (in-house newsletter) • Intranet • Training and performance management • Employee engagement events • Corporate film • Regular update through email communication	Continuous	Employee wellbeing and satisfaction is an integral part of the Company's growth model. Employee engagement through various means of communication provides an insight into the key action areas for employee wellbeing and growth. The key areas of interest for employees are: • Training, professional growth and development • Well-being initiatives & getting feedbacks • Employee recognition • Fair remuneration & Work-life balance • Provide nurturing environment
Communities	Yes	• In-person meetings • Engagement through NGO partners	Continuous	Community development programs initiated by the Company's CSR activities enables driving a positive impact on the community members. The key areas of interest for community are: • Community development programs with a focus on health, education, sanitation and infrastructure development • To develop a sustainable ecosystem for our communities • Understanding the social & development challenges / needs of the local communities and working towards mitigating/ achieving them

Principle 5:
Businesses should respect and promote human rights

Essential Indicators

1. Employees and workers who have been provided training on human rights issues and policy(ies) of the entity:

Category	FY 2024-25			FY 2023-24		
	Total (A)	No. of employees / workers covered (B)	% (B/A)	Total (C)	No. of employees / workers covered (D)	% (D/C)
Employees						
Permanent	562	562	100%	642	642	100%
Other than Permanent	-	-	-	-	-	-
Total Employees	562	562	100%	642	642	100%
Workers						
Permanent	67	67	100%	73	73	100%
Other than Permanent	262	262	100%	374	374	100%
Total Workers	329	329	100%	447	447	100%

2. Details of minimum wages paid to employees and workers:

Category	FY 2024-25					FY 2023-24				
	Total (A)	Equal to Minimum Wage		More than Minimum Wage		Total (D)	Equal to Minimum Wage		More than Minimum Wage	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)	No. (F)	% (F/D)
Employees										
Permanent	562	-	-	562	100%	642	-	-	642	100%
Male	530	-	-	530	100%	601	-	-	601	100%
Female	32	-	-	32	100%	41	-	-	41	100%
Other than Permanent	-	-	-	-	-	-	-	-	-	-
Male	-	-	-	-	-	-	-	-	-	-
Female	-	-	-	-	-	-	-	-	-	-
Workers										
Permanent	67	-	-	67	100%	73	-	-	73	100%
Male	66	-	-	66	100%	71	-	-	71	100%
Female	1	-	-	1	-	2	-	-	2	100%
Other than Permanent	262	238	91%	24	9%	374	355	95%	19	5%
Male	253	229	91%	24	9%	352	333	95%	19	5%
Female	9	9	100%	-	-	22	22	100%	-	-

3. Details of remuneration/salary/wages:

a. Median remuneration / wages:

Particulars	Male		Female	
	Number	Median remuneration/ salary/ wages of respective category (INR million)	Number	Median remuneration/ salary/ wages of respective category (INR million)
Executive Directors	1	40.07	1	8.13
Non- Executive Directors	6	0.18	2	0.33
Key Managerial Personnel *	2	2.88	-	-
Employees other than BoD and KMP	527	0.30	31	0.24
Workers	66	0.25	1	0.20

* Other than Board Members

b. Gross wages paid to females as % of total wages paid by the entity:

	FY 2024-25	FY 2023-24
Gross wages paid to females as % of total wages	6%	5%

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business? (Yes/No)

Yes, the Head of Human Resource department of the Company is responsible for addressing human rights impact or issues.

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

The Company uses email and other informal channels of communication as the internal mechanism for grievance redressal of human rights issues. The Company's Human Rights Policy outlines the grievance redressal mechanism through the open channels of communication and as well as the mechanism to reach out to the Ombudsman in line with the Whistleblower Policy. The Ombudsman ensures the confidentiality of the complaints and grievances received. Any grievances in relation to human rights issues can be raised through email: human.resources@hester.in

6. Number of Complaints on the following made by employees and workers:

Category	FY 2024-25			FY 2023-24		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Sexual Harassment	Nil	Nil		Nil	Nil	
Discrimination at workplace	Nil	Nil		Nil	Nil	
Child Labour	Nil	Nil		Nil	Nil	
Forced Labour / Involuntary Labour	Nil	Nil		Nil	Nil	
Wages	Nil	Nil		Nil	Nil	
Other human rights related issues	Nil	Nil		Nil	Nil	

During the financial year 2024-25, there have been no complaints made by workers or employees on any human rights issues.

7. Gross wages paid to females as % of total wages paid by the entity:

	FY 2024-25	FY 2023-24
Total Complaints reported under Sexual Harassment on of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 (POSH)	Nil	Nil
Complaints on POSH as a % of female employees / workers	Nil	Nil
Complaints on POSH upheld	Nil	Nil

8. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.

The Company has a Whistle Blower Policy wherein all employees can report, without fear of retaliation, any wrong practices or unethical behaviour on discrimination or harassment which may have a detrimental effect on the organisation, including financial damage and impact on brand image.

The details of the complainant are kept confidential and the authenticity of the complainant's report is investigated by the assigned committee/ officer. The details regarding the investigation are also limited to the committee and kept confidential. The complainant is protected from any discrimination and harassment till the issue is resolved.

9. Do human rights requirements form part of your business agreements and contracts? (Yes/No)

Yes, the Company has standalone requirements on human rights as part of its business agreements and contracts with third parties. Through the contracts/agreements, the Company mandates third parties to have a clear focus and intention to comply with leading human rights standards and applicable labour laws in relation to child labour, forced labour, sexual harassment and discrimination. The requirements are also applicable in case of sub-contractors.

10. Assessments for the year:

Particulars	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Child labour	100%
Forced/involuntary labour	100%
Sexual harassment	100%
Discrimination at workplace	100%
Wages	100%

11. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 10 above.

There were no significant risks/ concerns arising from the above assessments.

Principle 6:**Businesses should respect and make efforts to protect and restore the environment****Essential Indicators****1. Details of total energy consumption (in Tera Joules) and energy intensity:**

Parameter	FY 2024-25	FY 2023-24
From renewable sources		
Total electricity consumption (A)	0.39	0.33
Total fuel consumption (B)	-	-
Energy consumption through other sources (C)	-	-
Total energy consumed from renewable sources (A+B+C)	0.39	0.33
From non-renewable sources		
Total electricity consumption (D)	41.68	42.30
Total fuel consumption (E)	15.43	19.50
Energy consumption through other sources (F)	-	-
Total energy consumed from Non-renewable sources (D+E+F)	57.11	61.80
Total energy consumed (A+B+C+D+E+F)	57.50	62.14
Turnover (INR million)	2,864.66	2,851.55
Energy intensity per rupee of turnover (Total energy consumption in Tera Joules/ turnover in INR million)	0.020	0.022
Energy intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total energy consumed in Tera Joules / Revenue from operations in INR million adjusted for PPP)	2.85	2.72
Energy intensity in terms of physical output (Total energy consumption in Tera Joules/ total output in billion doses)	13.99	17.89

Note:

- The revenue from operations has been adjusted for PPP based on the latest PPP conversion factor for India published by World Bank for 2023 which is 20.20.
- The energy intensity in terms of physical output is based on the total number of doses manufactured by the Company which is calculated based on the average utilisation rate achieved during the financial year 2024-25.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency:- No, the Company has not undertaken any independent assessment/assurance of the environmental data disclosed in the report.

2. Does the entity have any sites / facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? (Y/N) If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any.

No, the Company is not identified as designated consumer under the Performance Achieve and Trade (PAT) Scheme of the Government of India.

3. Provide details of the following disclosures related to water:

Parameter	FY 2024-25	FY 2023-24
Water withdrawal by source (in kilolitres 'KL')		
(i) Surface water	-	-
(ii) Groundwater	42,322	47,389
(iii) Third party water	5,408	330
(iv) Seawater/ desalinated water	-	-
(v) Others	-	-
Total volume of water withdrawal (in KL) (i + ii + iii + iv + v)	47,730	47,718
Total volume of water consumption (in KL)	47,730	47,718
Water intensity per rupee of turnover (Water consumed (KL)/ turnover in INR million)	16.66	16.73
Water intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Water consumed (KL) / Revenue from operations in INR million adjusted for PPP)	0.00034	0.00038
Water intensity in terms of physical output (Water consumed (KL)/ total output in billion doses)	0.00001	0.00001

Note:

- The revenue from operations has been adjusted for PPP based on the latest PPP conversion factor for India published by World Bank for 2023 which is 20.20.
- The water intensity in terms of physical output is based on the total number of doses manufactured by the Company which is calculated based on the average utilisation rate achieved during the financial year 2024-25.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency:- No, the Company has not undertaken any independent assessment/assurance of the environmental data disclosed in the report.

4. Details related to water discharged:

Parameter	FY2024-25	FY2023-24
Water discharge by destination and level of treatment (in KL)		
Others - Landscape/Garden Area		
- No treatment	576	1,253
- With treatment	17,130	14,849
Total water discharged (in KL)	17,706	16,102

The Company has implemented a robust water treatment mechanism. As part of this, all used water from the production process is collected and treated through different processes to ensure there is no residual harmful/hazardous components. This treated water is subsequently used by the Company for gardening purposes in the factory premises.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency:- No, the Company has not undertaken any independent assessment/assurance of the environmental data disclosed in the report.

5. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.

The Company adheres to Zero Liquid Discharge (ZLD) by treating, recycling and reusing all wastewater, ensuring no discharge into the environment. It employs advanced treatment methods such as Effluent Treatment, Reverse Osmosis, Multiple Effect Evaporation (MEE) and Agitated Thin Film Drying (ATFD) to enhance sustainability. This approach supports water conservation, regulatory compliance and environmental protection.

6. Please provide details of air emissions (other than GHG emissions) by the entity:

Parameter	Please specify unit	FY 2024-25	FY 2023-24
NOx			
SOx			
Particulate matter (PM)			
Persistent organic pollutants (POP)			
Volatile organic compounds (VOC)			
Hazardous air pollutants (HAP)			

The Company regularly engages government-accredited third-party agencies to monitor air emissions from its operations at its manufacturing facility in line with the requirements of local pollution control regulations. The air emissions recorded during the FY2024-25 are within the permissible limits. The Company will continue to monitor its air emissions on an ongoing basis and implement various environmental control measures and technologies to reduce its air emissions.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. :- No, the Company has not undertaken any independent assessment/assurance of the environmental data disclosed in the report.

7. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity:

Parameter	Unit	FY 2024-25	FY 2023-24
Total Scope 1 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	1,147	1,450
Total Scope 2 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	8,387	8,340
Total Scope 1 & Scope 2 emissions	Metric tonnes of CO ₂ equivalent	9,534	9,790
Total Scope 1 and Scope 2 emissions per INR of turnover (Metric tonnes of CO ₂ equivalent/ turnover in INR million)		3.33	3.43
Total Scope 1 and Scope 2 emission intensity per rupee of turnover adjusted for Purchasing Power Parity(PPP) (Total Scope 1 and Scope 2 GHG emissions/ Revenue from operations in INR million adjusted for PPP)		76.15	78.55
Total Scope 1 and Scope 2 emission intensity in terms of physical output (Metric tonnes of CO ₂ equivalent/ total output in billion doses)		2,320.33	2,818.81

Note:

- The revenue from operations has been adjusted for PPP based on the latest PPP conversion factor for India published by World Bank for 2023 which is 20.20.
- The emissions intensity in terms of physical output is based on the total number of doses manufactured by the Company which is calculated based on the average utilisation rate achieved during the financial year 2024-25.

Scope 1 and Scope 2 emissions are from the consumption of electricity, fuel, and other energy sources at the corporate office, the manufacturing facility, poultry farm and offices in India. Scope 1 calculations are undertaken using guidelines and emissions factors prescribed by the IPCC (2006 version). The latest GWP factors published as part of AR6 are used for the calculations. Scope 2 calculations are undertaken using the emission factors prescribed by the Central Electricity Authority (version 20 dated December 2024).

The Company's manufacturing activities do not involve any process or fugitive emissions.

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. :- No, the Company has not undertaken any independent assessment/assurance of the environmental data disclosed in the report.

8. Does the entity have any project related to reducing Green House Gas emission? If Yes, then provide details.

The Company is dedicated to reducing its carbon footprint through a series of strategic initiatives focused on both renewable energy adoption and energy efficiency. In a bid to shift away from fossil fuels, the Company has already installed a 100 KW rooftop solar power system on one of its buildings, with plans to expand solar energy capacity in the future. This shift to renewable energy is part of a broader effort to reduce dependence on non-renewable energy sources and decrease overall greenhouse gas emissions.

In addition to renewable energy initiatives, the Company has undertaken significant upgrades to improve energy efficiency across its operations. These include the implementation of a Central Compressed Air Distribution Network, the creation of a Central Chilled Water Distribution Network and establishment of ETP lab to monitor the water treatment continuously. These improvements help optimise energy usage, reduce waste, water stewardship and contribute to lowering the overall carbon emissions generated by the company.

The Company also places a strong emphasis on long-term sustainability through tree plantation and afforestation drives. These annual initiatives, which are often tied to environmental awareness events like World Environment Day, aim to enhance carbon sequestration. By increasing green cover on-site, the Company is actively working to offset its emissions, contributing to both environmental health and its sustainability goals. These collective efforts demonstrate the Company's commitment to minimizing its environmental impact and fostering a greener future.

9. Provide details related to waste management by the entity:

Parameter	FY 2024-25	FY 2023-24
Total Waste generated (in metric tonnes)		
Plastic waste (A)	1.10	0.80
E-waste (B)	0.40	0.21
Bio-medical waste (C)	606.91	582.31
Construction and demolition waste (D)	-	-
Battery waste (E)	-	-
Radioactive waste (F)	-	-
Hazardous waste (G)	14.02	7.70
Other Hazardous waste ETP Sludge (H)	5.75	2.62
Other Non-hazardous waste generated - Paper & Box waste, Egg tray waste, Glass and Drum waste (I)	88.11	57.85
Total (A + B + C + D + E + F + G + H + I)	716.28	651.49
Waste intensity per rupee of turnover (Total waste generated in MT / turnover in INR million)	0.25	0.23
Waste intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total waste generated in MT/ Revenue from operations in INR million adjusted for PPP)	5.72	5.23
Waste intensity in terms of physical output (Total waste generated in MT/ total output in billion doses)	174.32	187.59

Note:

- The revenue from operations has been adjusted for PPP based on the latest PPP conversion factor for India published by World Bank for 2023 which is 20.20.
- The emissions intensity in terms of physical output is based on the total number of doses manufactured by the Company which is calculated based on the average utilisation rate achieved during the financial year 2024-25.

For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)

Category of waste		
(i) Recycled (Plastic + E-waste + Paper & Box + Glass + Egg tray waste + Drums)	89.61	58.86
(ii) Re-used	-	-
(iii) Other recovery operations	-	-

For each category of waste generated, total waste disposed by nature of disposal method (in metric tonnes)		
Category of waste		
(i) Incineration (Bio-medical waste + Hazardous waste)	620.93	590.01
(ii) Landfilling (Hazardous waste + ETP sludge)	7.12	2.62
(iii) Other disposal operations	-	-
Total	628.05	592.63

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency:- No, the Company has not undertaken any independent assessment/assurance of the environmental data disclosed in the report.

10. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.

The Company has implemented an effective waste management system that includes segregation, recycling, proper disposal and hazardous waste treatment, ensuring compliance with environmental regulations. Sustainable initiatives, such as reducing chemical usage, adopting eco-friendly alternatives, and implementing waste reduction techniques, help mitigate environmental impact and promote long-term ecological responsibility.

A comprehensive waste management framework addresses various waste categories generated during operations. This includes biomedical waste from QC and R&D processes, ETP sludge from wastewater treatment, plastic waste from packaging materials and electronic waste from equipment disposal. All waste is managed through authorised third-party agencies for recycling, reuse, landfill, or incineration, in strict accordance with regulatory requirements.

To further enhance waste management efficiency, the Company is actively commissioning additional waste reduction initiatives and has established an in-house ETP testing laboratory for real-time monitoring of treated water, further strengthening efforts towards sustainability.

11. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals / clearances are required, please specify details:

The Company's manufacturing facility and offices are not located in or near ecologically sensitive areas.

12. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year:

During the financial year 2024-25, the Company has not conducted an environmental impact assessment.

13. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India; such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N). If not, provide details of all such non-compliances:

We comply with environmental laws such as the Water Act, Air Act and Environment Protection Act, to regulate pollution and promote sustainability. To ensure compliance, the Company conducts regular audits and strictly adheres to environmental norms.

During the financial year 2024-25, there were no instances of non-compliance with applicable laws, regulations or guidelines at the national and state levels. Our manufacturing facility holds a valid Consent to Operate, issued by the Gujarat State Pollution Control Board.

Principle 7:

Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent.

Essential Indicators**1. a) Number of affiliations with trade and industry chambers/ associations.**

The Company has affiliations with 5 (Five) national and state level trade and industry associations/ chambers.

b) List the top 10 trade and industry chambers/ associations (determined based on the total members of such body) the entity is a member of/ affiliated to.

Sr. No.	Name of the trade and industry chambers/ associations	Reach of trade and industry chambers/ associations (State/National)
1	Federation of Indian Chambers of Commerce and Industry (FICCI)	National
2	The Indian Drug Manufacturers Association	National
3	Gujarat Chamber of Commerce & Industry	State
4	Indian Federation of Animal Health Companies (INFAH)	National
5	Veterinary Vaccine India Manufacturers Association (VVIMA)	National

2. Provide details of corrective action taken or underway on any issues related to anti-competitive conduct by the entity, based on adverse orders from regulatory authorities.

During the financial year 2024-25, no adverse orders from any regulatory authorities have been received in relation anti-competitive conduct.

Principle 8:

Businesses should promote inclusive growth and equitable development

Essential Indicators**1. Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year.**

During the financial year 2024-25, the Company did not undertake any Social Impact Assessment.

2. Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity, in the following format:

During the financial year 2024-25, the Company did not undertake any projects which involve any form of Rehabilitation and Resettlement (R&R).

3. Describe the mechanisms to receive and redress grievances of the community.

The Company interacts with members of the community through local panchayat and in-person meetings. These avenues of contact make it easier to receive and address local community issues. In addition, the Company uses several community programmes to reach out to areas near its manufacturing location. The grievance register, which is handled at the manufacturing facility, is open to all community members for the purpose of raising grievances and questions as a written communication channel. Concerned authority members of the Company addresses the grievances received from the communities through the register.

4. Percentage of input material (inputs to total inputs by value) sourced from suppliers:

Parameter	FY 2024-25	FY 2023-24
Directly sourced from MSMEs/ small producers	48%	59%
Directly from within India	99%	99%

5. Job creation in smaller towns – Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis) in the following locations, as % of total wage cost:

Location	FY 2024-25	FY 2023-24
Rural	23%	24%
Semi-Urban	15%	12%
Urban	11%	12%
Metropolitan	52%	51%

Principle 9:

Businesses should engage with and provide value to their consumers in a responsible manner

Essential Indicators

1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback.

The Company has established a robust and systematic framework for receiving, addressing, and responding to consumer complaints and feedback. All complaints, whether received through customer service channels, emails, or direct submissions, are promptly logged and acknowledged, with each assigned a unique reference number for tracking. Complaints are reviewed and routed to the relevant department, such as Quality Assurance, Technical Services, or Regulatory Affairs, based on their nature and severity. Those lodged through consumer forums or regulatory bodies are escalated and handled in strict compliance with applicable laws and internal procedures.

For product-related complaints, particularly those involving quality concerns, the Quality Assurance department initiates a comprehensive investigation process. This includes a preliminary risk assessment, sample collection (if applicable), and technical evaluation. These steps run concurrently to ensure timely resolution. The complainant is kept informed throughout the process. Upon identifying the root cause, a corrective action plan is implemented, and a complaint summary report is generated. A final risk assessment is conducted before a formal response is shared with the complainant, resulting in the official closure of the complaint.

To proactively enhance customer satisfaction and product performance, the Company also conducts regular consumer satisfaction surveys and post-marketing surveillance. Insights gathered from these activities are analysed for trends and used to improve product offerings, operational processes, and customer engagement strategies, ensuring continuous improvement and consumer trust.

2. Turnover of products and/ services as a percentage of turnover from all products/service that carry information about:

Particulars	As a percentage to total turnover
Environmental and social parameters relevant to the product	100% of the Company's products include information on their environmental and social impact.
Safe and responsible usage	100% of the Company's products provide details on responsible and safe usage. Given the critical importance of vaccine safety, relevant information is prominently displayed on product labels in compliance with national and international drug regulatory requirements.
Recycling and/or safe disposal	100% of the Company's products include recycling and safe disposal instructions in accordance with statutory regulations set by the Pollution Control Boards.

3. Number of consumer complaints in respect of the following:

Particulars	FY 2024-25			FY 2023-24		
	Received during the year	Pending resolution at end of year	Remarks	Received during the year	Pending resolution at end of year	Remarks
Data privacy	Nil	Nil		Nil	Nil	
Advertising	Nil	Nil		Nil	Nil	
Cyber-security	Nil	Nil		Nil	Nil	
Delivery of essential services	Nil	Nil		Nil	Nil	
Restrictive Trade Practices	Nil	Nil		Nil	Nil	
Unfair Trade Practices	Nil	Nil		Nil	Nil	
Other	Nil	Nil		Nil	Nil	

During the financial year 2024-25, there have been no complaints from customers across any parameters.

4. Details of instances of product recalls on account of safety issues:

	Number	Reasons for recall
Forced recalls	1	Due to the regulatory authority's ban on Nimesulide, an active ingredient in one of our brands, prompted a recall of the product. However, the company had anticipated this move and has launched an alternative product

5. Does the entity have a framework/ policy on cyber security and risks related to data privacy? (Yes/No) If available, provide a web-link of the policy.

Yes, the Company has a comprehensive cybersecurity policy and a robust framework for data privacy and protection. A dedicated IT team oversees the implementation of this policy and conducts end-to-end assessments to identify and address potential vulnerabilities. Through continuous monitoring and strong IT controls, the Company proactively mitigates cybersecurity and data privacy risks. The policy is publicly accessible on our website at <https://www.hester.in/corporate-governance>

6. Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty / action taken by regulatory authorities on safety of products / services.

During the financial year 2024-25, there have been no issues related to advertising, the delivery of essential services, cybersecurity, or data privacy concerning customers. Additionally, there have been no instances of product recalls or penalties/actions taken by any regulatory authorities on these matters.

7. Provide the following information relating to data breaches:

- Number of instances of data breaches
- Percentage of data breaches involving personally identifiable information of customers
- Impact, if any, of the data breaches

No instances of data breach has been occurred during the financial year 2024-25.

